

Multiple Choice (10 marks)

1. What are three economic roles of government?
 - (a) Establishing minimum standards, providing public services, setting forth laws
 - (b) Funding education, providing healthcare, controlling inflation
 - (c) Printing money, establishing trade agreements, military defense
2. What happens to the purchasing power of money when there is inflation? What does it mean?
 - (a) Purchasing power increases and more goods can be purchased with the same amount of money.
 - (b) Purchasing power remains the same.
 - (c) Purchasing power decreases and less goods can be purchased with the same amount of money.
 - (d) Purchasing power fluctuates unpredictably.
3. The market for denim jeans is in equilibrium, and the price of polyester pants, a substitute good, rises. In the jean market
 - (a) supply falls, increasing the price and increasing the quantity.
 - (b) demand rises, decreasing the price and increasing the quantity.
 - (c) demand rises, increasing the price and decreasing the quantity.
 - (d) demand falls, decreasing the price and increasing the quantity.
 - (e) supply rises, decreasing the price and increasing the quantity.
4. A production possibility frontier will be a straight line when
 - (a) efficiency is achieved
 - (b) there is no opportunity cost
 - (c) utility is maximized
 - (d) resources are not specialized
 - (e) there is economic growth
5. The "crowding-out" effect refers to which of the following?
 - (a) Higher interest rates that result from borrowing to conduct contractionary fiscal policy
 - (b) Lower interest rates that result from borrowing to conduct expansionary monetary policy

- (c) Lower interest rates due to borrowing to conduct contractionary fiscal policy
- (d) Lower interest rates resulting from reduced borrowing due to expansionary fiscal policy
- (e) Lower interest rates due to increased borrowing to conduct expansionary monetary policy

True / False (10 marks)

Answer True or False

6. True or False: As more firms enter a monopolistically competitive industry, the number of firms in the industry tends to increase.
7. True or False: The GDP Deflator only incorporates base year quantities in its calculations, ignoring current year production levels.
8. True or False: The velocity of money can be calculated as 6 times per year with a GNP of 600 billion and a money supply of 200 billion.
9. True or False: An increase in supply while demand remains constant will definitely raise the equilibrium price of corn.
10. True or False: The 'long run' is commonly understood as a short-term investment strategy in economic planning.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Discuss the annual depreciation expense for a machine costing 1,000,000 with a scrap value of 100,000 after 10 years. How is this reflected in the capital account?
12. Discuss the implications of using Ordinary Least Squares (OLS) estimation in the presence of autocorrelation, focusing on the accuracy of forecasts and the appropriateness of standard errors.

End of Paper